bestoasis

Recycling with the Best

Weekly Ship Recycling Report

17 December - 20 December 2024

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Highlights of the week

This week, the ship recycling markets across the four major destinations continued to face challenges, with little improvement in activity or pricing. In India, the market saw several vessels being offered, including large units like VLCCs, but the availability did not translate into heightened activity. Weak demand for local scrap steel kept buyers cautious, resulting in reduced prices and minimal interest despite the supply. In Bangladesh, the situation remained largely stagnant, marking one of the slowest year-ends in recent memory. With no notable vessel offerings or significant developments, the market showed no signs of gaining momentum. Pakistan mirrored this sentiment as the market continued to lack activity or any meaningful changes, reflecting broader uncertainties. Turkiye also remained static, with no visible movement in prices or activity throughout the week. Overall, while vessel availability in India highlighted some activity, the global recycling markets remained subdued, weighed down by low demand and hesitant buyers across all regions.

Global growth in 2025 is expected to reach a modest 2.5%, reflecting a slow recovery from the pandemic. Emerging markets, led by India and supported by the U.S., will drive growth, with emerging economies expanding at 3.5%-4% and developed economies growing at a slower 1.25%–1.75%. Challenges include rising U.S. tariffs, weaker Chinese demand, eurozone struggles with energy costs, and industrial overcapacity. A stronger dollar will add inflationary pressure on emerging markets that rely on dollar-settled imports, particularly oil. Despite easing global inflation, expected to decline to 4% by 2025, elevated debt levels and unwinding monetary tightening will present ongoing risks to global stability.

Exchange Rates:

USD / INR ₹

This Week	: 84.98
Previous Week	: 84.88
Lost	: 0.10

USD / BDT ৳

This Week	: 119.63
Previous Week	: 119.37
Lost	: 0.26

USD / PKR Rs

This Week	: 278.19
Previous Week	: 277.73
Lost	: 0.46

USD / TRY ₺

This Week	: 35.19
Previous Week	: 34.95
Lost	: 0.24

India

Market sluggish amid weak scrap steel demand and increased tonnage supply.

- The market remains sluggish, and we have reduced prices due to an influx of new tonnage being offered, particularly VLCCs. This increased supply has created pressure as buyers are hesitant to purchase, given the weak demand for local scrap steel.

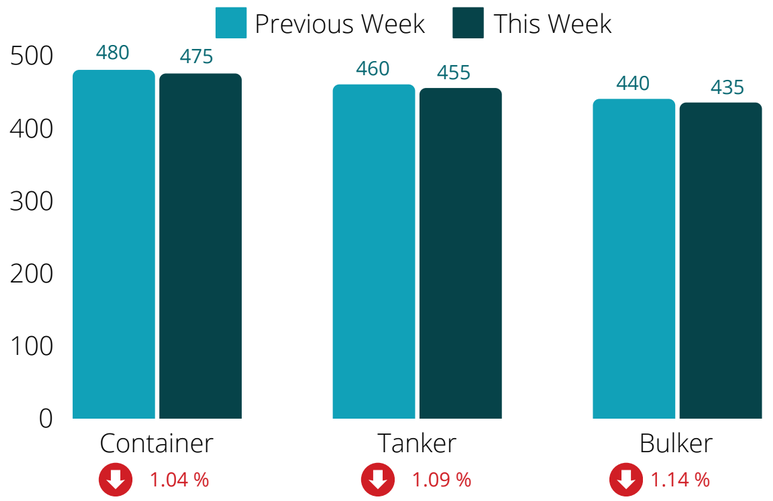
- Buyers are cautious because the demand for local scrap steel is already low. If additional steel enters the market, it could further saturate the market, leaving little room for buyers to step in, thereby affecting the price situation.

- India is investigating rising imports of "Non-Alloy and Alloy Steel Flat Products" after a complaint by the Indian Steel Association, representing major producers like JSW Steel and Steel Authority of India. The Directorate General of Trade Remedies (DGTR) is leading the probe under the commerce ministry.

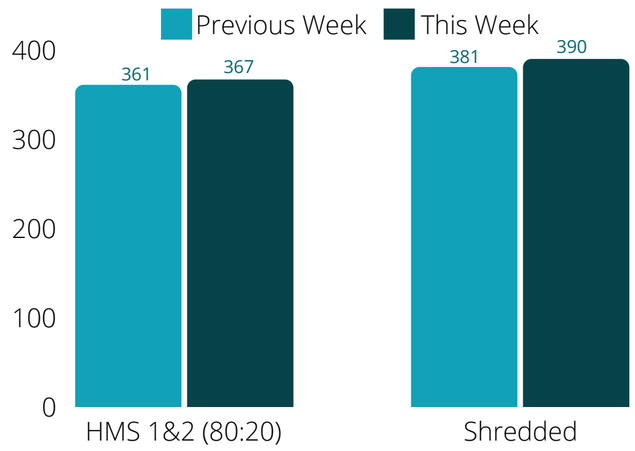
Beaching Dates

20 December 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Market sluggish and inactive, marking one of the slowest year-ends.

- The market remains unchanged, sluggish, and lacking any momentum or activity. This is shaping up to be one of the slowest year-ends in this market's track record. With the month already more than halfway through and the year nearing its close, no significant developments have occurred.

- The current year has been tough, falling short of expectations, which makes the outlook for the coming year uncertain and difficult to predict.

- Bangladesh has requested an additional USD 750 million loan from the IMF, which, if approved, would increase the total loan to USD 5.3 billion. The IMF projects Bangladesh's GDP growth to slow to 3.8% in FY25 due to public uprisings, floods, and tighter policies, with a rebound to 6.7% in FY26 as policies ease.

Beaching Dates

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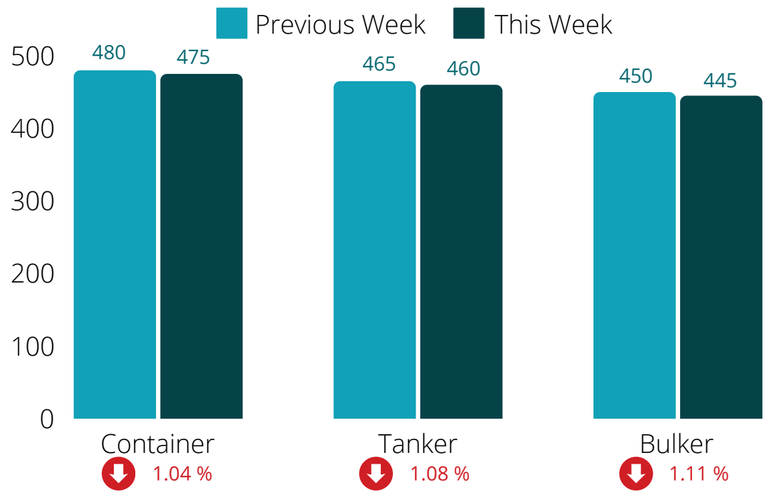
Price for Recycling Ships in Bangladesh



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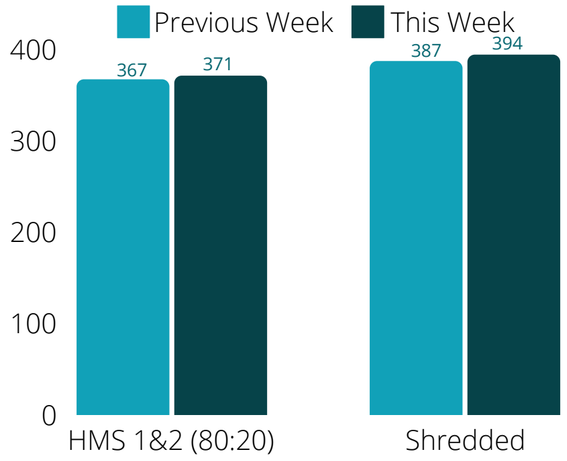


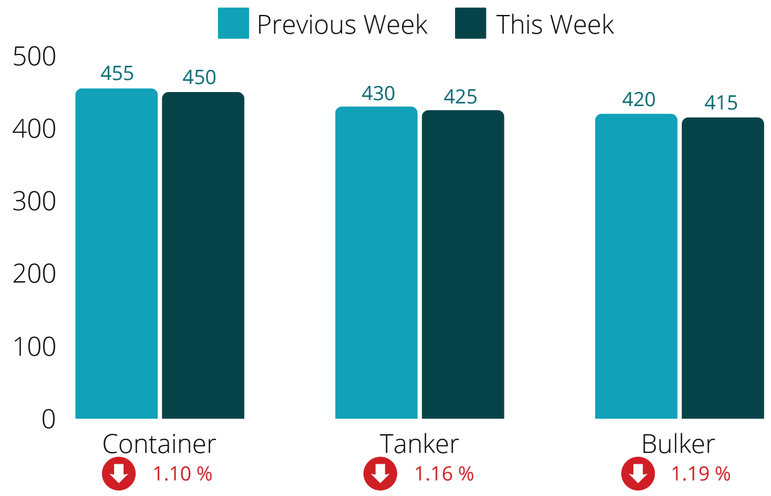
Pakistan

The market remains stagnant, showing no progress or positive developments.

- Much like its counterparts, this region is experiencing the same sentiment, marked by a lack of progress or positive developments. There has been no significant change or improvement in the market dynamics, reflecting a broader trend seen across similar regions.

- The State Bank of Pakistan recently reduced the interest rate by 2%, bringing it down to 13%. This decision, prompted by declining inflation now in single digits, aimed to align Pakistan's rates with its South Asian peers and stimulate investment through more affordable borrowing. However, it has yet to significantly boost broader economic recovery.

Price for Recycling Ships in Pakistan



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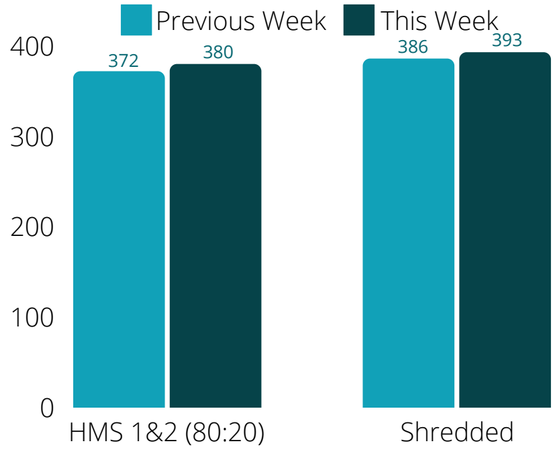


Beaching Dates

Throughout the month

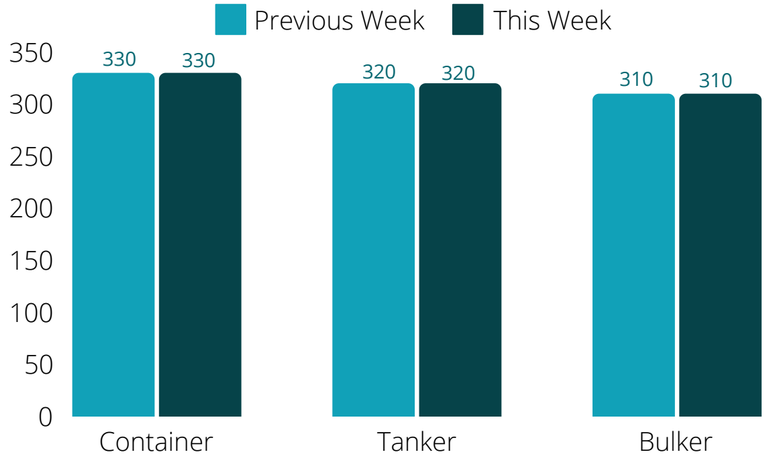
Türkiye

The market remains idle and unresponsive with no shifts in activity or pricing dynamics.

- The market appears unchanged, with no movement in price or activity; everything remains stagnant.

- The Turkish central bank is expected to begin reducing interest rates next week after eight months of steady policy, according to industry experts. Most anticipate a rate cut soon, while a minority expect rates to remain unchanged until the first quarter. There is consensus on the timing of the easing cycle, but opinions differ on the size of the initial cut.

Price for Recycling Ships in Türkiye



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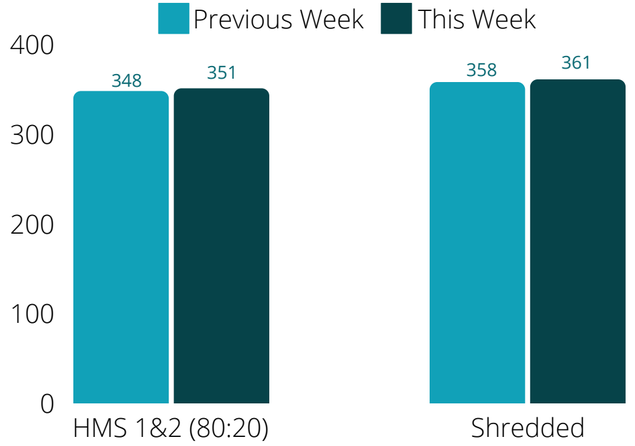
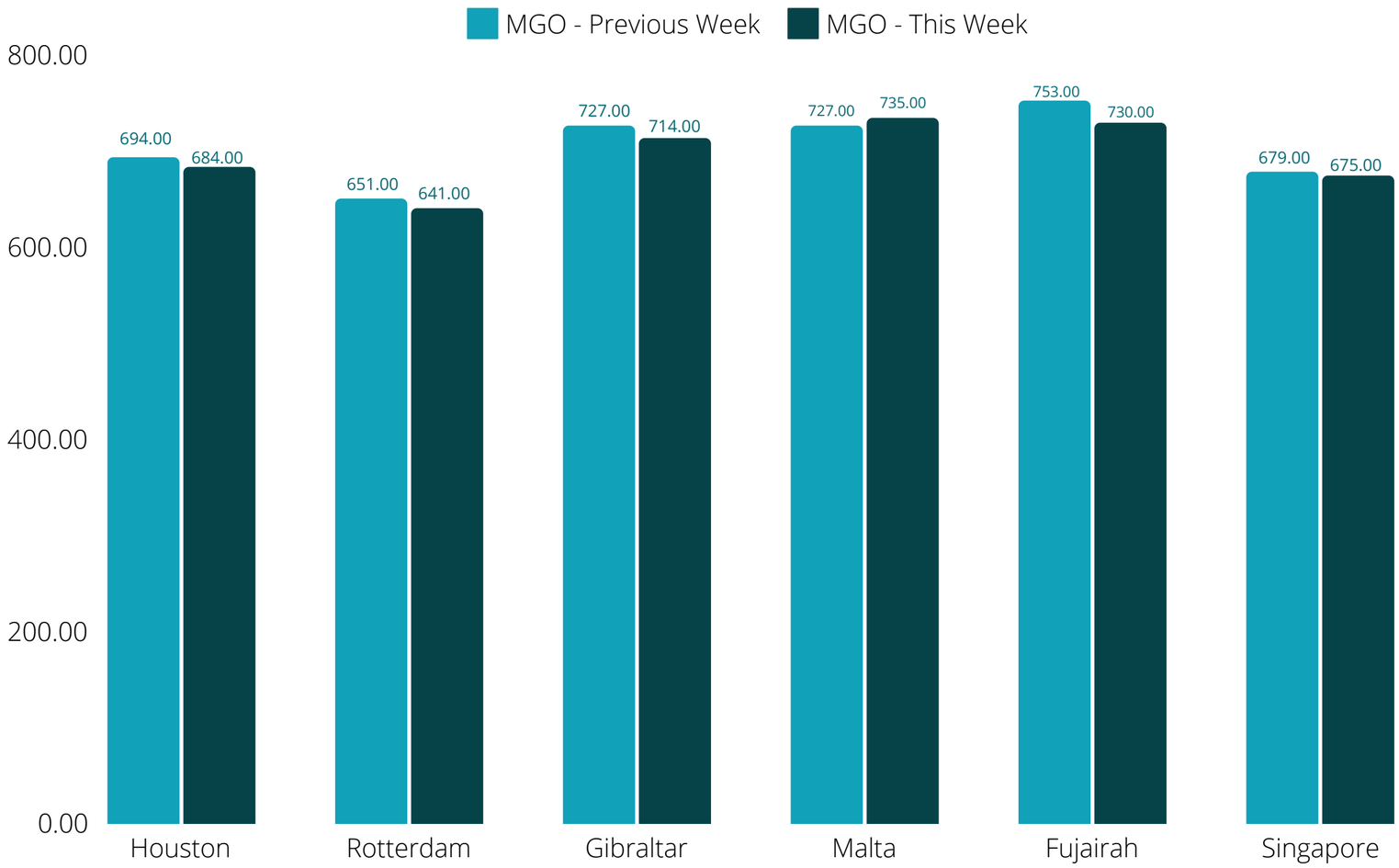


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 72.16
Previous Week	: 74.02
Movement	: + 1.86

WTI Crude

This Week	: 68.63
Previous Week	: 70.79
Movement	: + 2.16

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
GUO YUAN 9	BULKER	9100205	1994	DENMARK	9,217.00	DELIVERED	CHITTAGONG,BANGLADESH	465
ASIA 10	GENERAL CARGO SHIP	9076351	1994	DENMARK	2,610.00	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
GELIBOLU 2	GENERAL CARGO SHIP	8319976	1984	NETHERLANDS	635.00	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
TANTO	CONTAINER	9168582	1998	SOUTH KOREA	4,218.00	DELIVERED	ALANG, INDIA	UNDISCLOSED
GREEN COOLER	REEFER	8804543	1990	FINLAND	2,990.00	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
MOBY BABY TWO	RORO/PASSENGER	7360681	1974	GERMANY	1,414.00	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED

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